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Recycling with the Best

Weekly Ship Recycling Report

06 April 2024 - 19 April 2024

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Highlights of the week

Dubai recently experienced unprecedented flash floods, causing significant disruptions and challenges for the city known for its robust infrastructure and meticulous urban planning. As the community grapples with the effects of these severe weather events, there is a strong hope for a swift and effective recovery. Efforts are undoubtedly underway to restore normalcy as quickly as possible, and the resilience of Dubai's residents and authorities is expected to shine through during this recovery phase.

The ongoing Iran-Israel conflict might significantly reshape both the shipping and ship recycling industries by disrupting key routes like the Red Sea. This could prompt shipping companies to withdraw from the region, thereby affecting global supply chains and potentially raising consumer prices. Furthermore, naval actions aimed at securing these routes could shift shipping patterns and delay the decommissioning of older ships, impacting the availability of vessels for recycling. With the increase in operational costs and insurance premiums, shipowners may hesitate to recycle ships, thus decreasing the volume entering the recycling market. Let's see how this unfolds and its broader implications for the shipping world.

The ship recycling markets have displayed varying performances across different regions. India's market has seen a notable boost, driven by increased demand for scrap steel and non-ferrous materials, further escalated by geopolitical tensions between Israel and Iran. Meanwhile, Bangladesh's market is temporarily closed, set to reopen next week, with expectations that resumed operations and high vessel sales could boost market trends. In Pakistan, market activity has stalled due to Eid festivities, continuing previous trends of low activity and weak demand. There are ongoing efforts to address smuggling, which could potentially revive the market. Turkiye also reports stagnation influenced by the Eid celebrations, with no significant changes observed in the market conditions from the prior weeks.

Exchange Rates:

USD / INR ₹

This Week	: 83.45
Previous Week	: 83.26
Lost	: 0.19

USD / BDT ৳

This Week	: 109.73
Previous Week	: 109.83
Gained	: 0.10

USD / PKR Rs

This Week	: 278.25
Previous Week	: 277.92
Lost	: 0.33

USD / TRY ₺

This Week	: 32.60
Previous Week	: 31.98
Lost	: 0.62

India

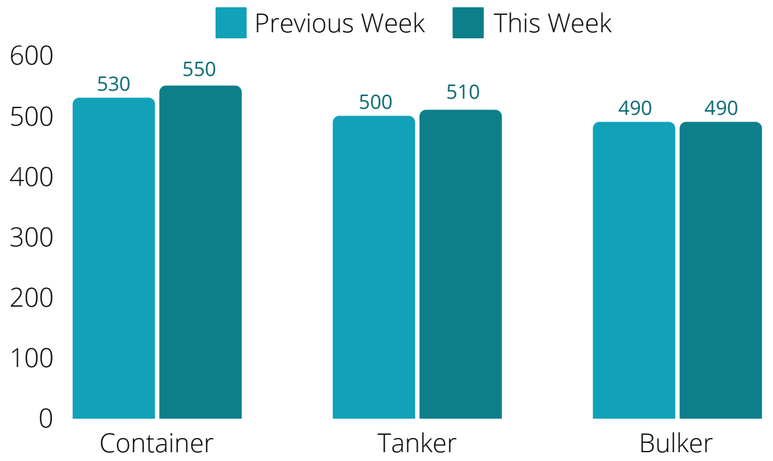
Markets strengthen as demand for steel scrap materials rises amid geopolitical tensions.

- The markets in this region are consistently strengthening, with expectations pointing towards a further solidification. Notably, there has been a significant uptick in demand for scrap steel and non-ferrous materials, which has consequently driven up the prices of raw materials for steel production.

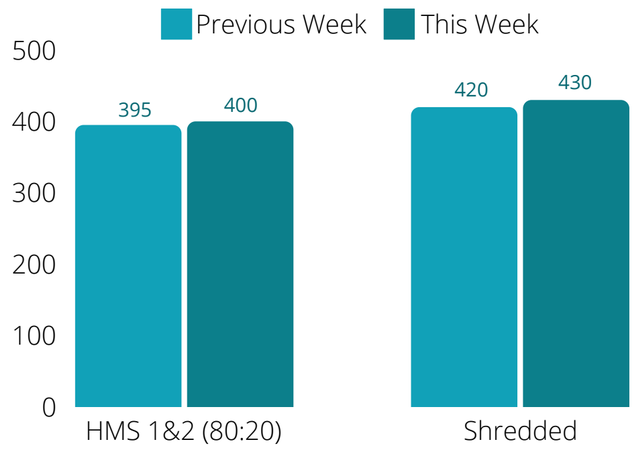
- Additionally, the ongoing geopolitical tensions between Israel and Iran have been identified as a contributing factor to this escalation in prices.

- The United Nations Conference on Trade and Development (UNCTAD) report recently indicated that India's economy expanded by 6.7% in 2023 and is projected to grow by 6.5% in 2024, maintaining its status as the fastest-growing major economy globally.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

23 April to 29 April 2024

05 May to 13 May 2024

21 May to 29 May 2024

Bangladesh

Market resumption next week to clarify demand amid elevated international vessel sales.

- The market remains closed and is scheduled to reopen next week. At this juncture, the demand can only be accurately gauged once the market resumes operations.

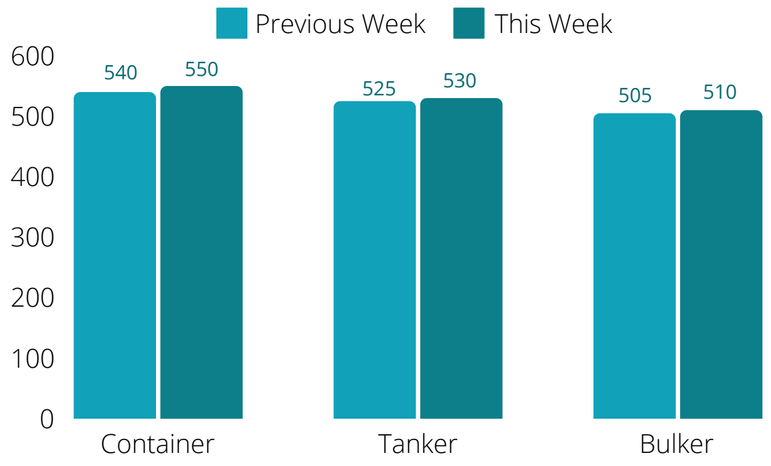
- As observed in the international market, vessel sales at elevated price points are anticipated to positively influence market trends. However, the trajectory of this market is contingent upon the demand dynamics at steel mills, particularly their requirement for scrap steel. This interdependency underscores the critical role of steel mills in shaping market outcomes.

- Bangladesh has consistently failed to meet the foreign currency reserve targets of the International Monetary Fund's (IMF) $4.7 billion loan program since it began in January last year, due to lower-than-expected remittances, exports, and foreign direct investments. Despite this, the country secured the first two loan disbursements and the third installment remains on schedule.

Beaching Dates

23 April to 26 April 2024
07 May to 10 May 2024
22 May to 25 May 2024

Price for Recycling Ships in Bangladesh



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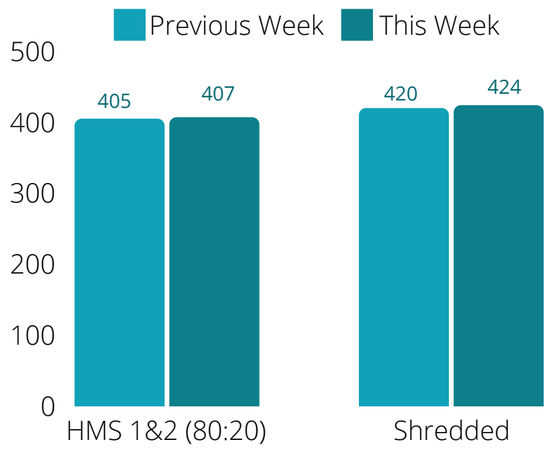


Pakistan

Unchanged market conditions continue with increased calls to combat smuggling.

- The market conditions remain unchanged and continue to be closed following the Eid festival. The local markets are experiencing a prolonged period of low activity, mirroring the sentiment observed in the preceding weeks and the demand remains weak.

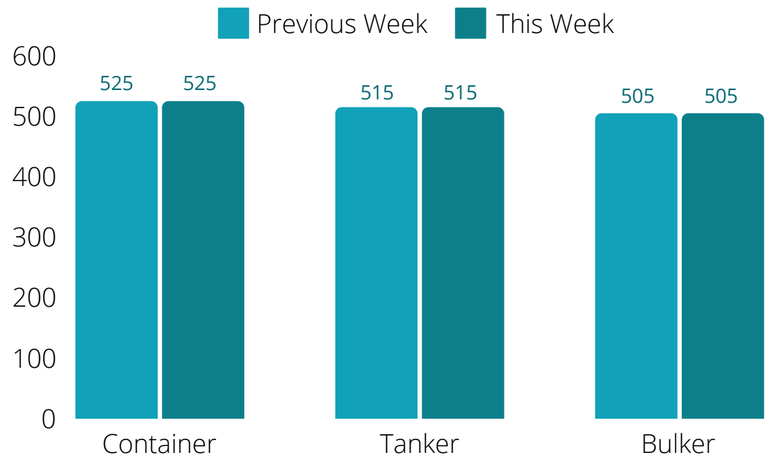
- There is increasing pressure on the government to address and curb smuggling activities. Stakeholders anticipate that controlling smuggling could potentially improve the market situation.

- In recent negotiations with the IMF, Pakistan's new government indicated that a significant devaluation of its currency is not expected as a prerequisite for accessing considerable IMF loans intended to aid the nation's economic reforms. Furthermore, IMF officials have noted positive developments in Pakistan's economic landscape.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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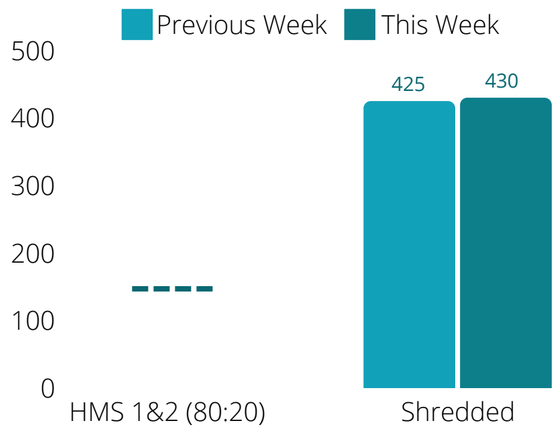


Türkiye

Market activities stagnate due to Eid festivities, maintaining consistency with previous trends.

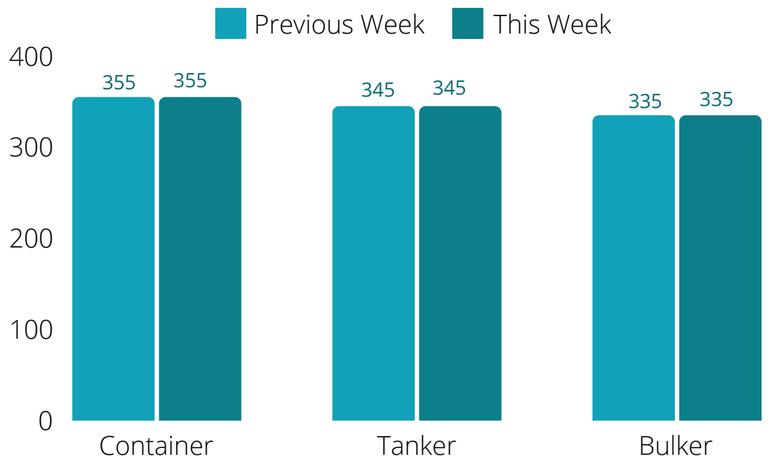
- There has been a noticeable stagnation in the activities. This is primarily attributed to the Eid festivities, which have dominated the region's focus and activities. Consequently, the market conditions have remained consistent with the trends observed in previous weeks, showing no significant changes.

- Turkey's central bank recorded a 2023 loss of 818.2 billion lira (25.25 billion USD), largely due to the foreign exchange-protected deposit scheme. Launched in 2021 to address a significant currency depreciation, the scheme has contributed to financial challenges, leading the bank to withhold profit distributions to the Treasury for the year.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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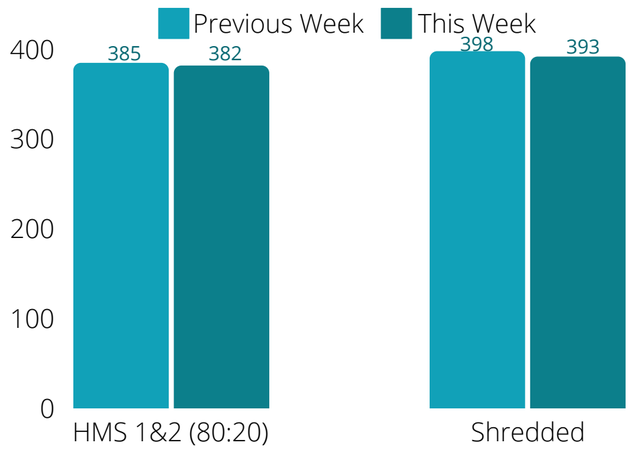
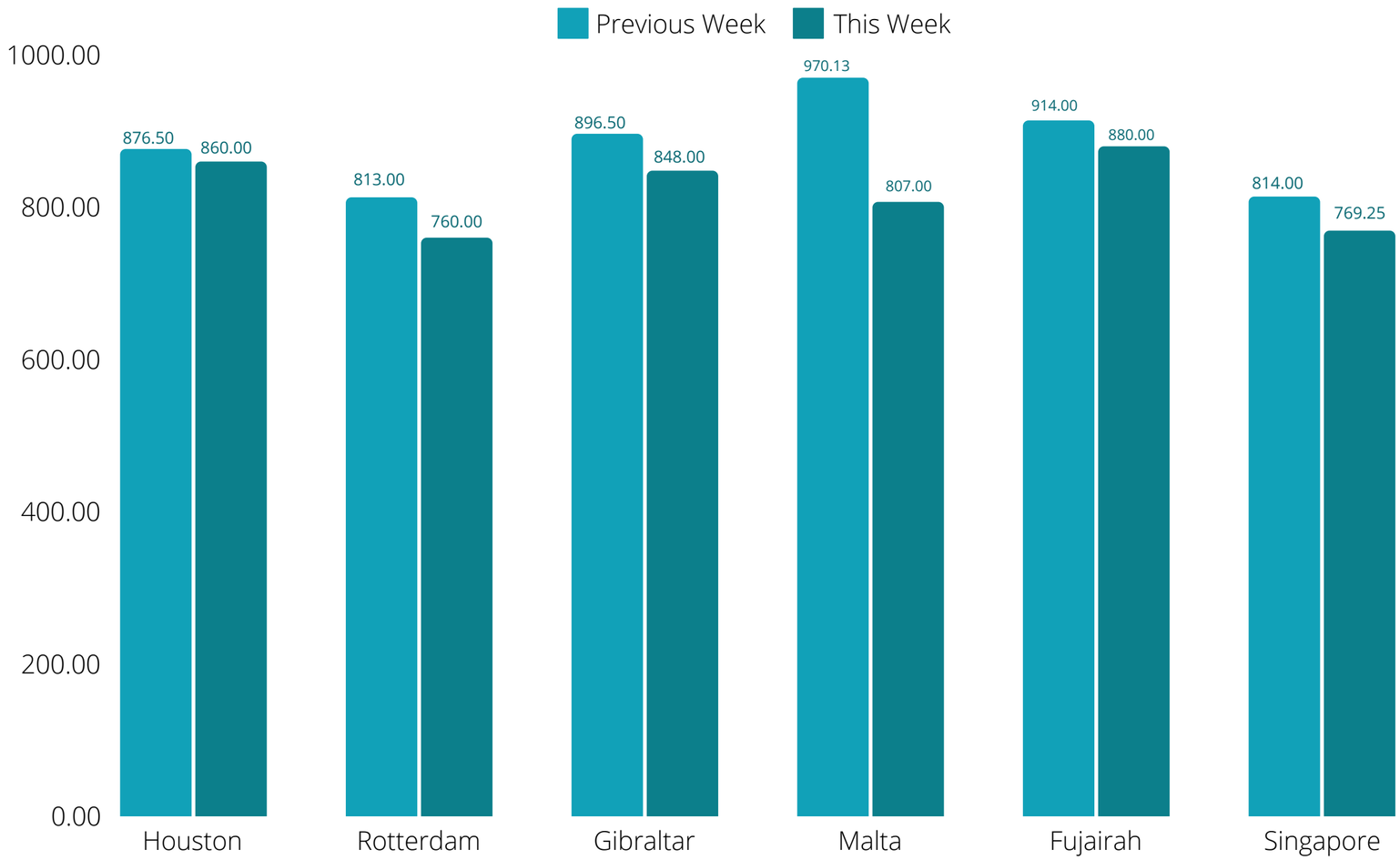


Bunker Prices at Port



Brent Crude

This Week	: 87.25
Previous Week	: 90.91
Movement	: - 3.66

WTI Crude

This Week	: 83.00
Previous Week	: 86.61
Movement	: - 3.61

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
MUDITA	LIMESTONE CARRIER	8220125	1983	JAPAN	6869.09	AS-IS	BATAM	485 (BUNKER ROB)
SINOKOR HONGKONG	CONTAINER	9146663	1996	JAPAN	5,620	DELIVERED	CHITTAGONG,BANGLADESH	590 (BUNKER ROB)
SINOKOR QINGDAO	CONTAINER	9160906	1999	CHINA	4,734	DELIVERED	FULL SUBCONTINENT DELIVERY RANGE	590 (BUNKER ROB)

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